

Claude Prompt Documentation

PROMPT:

Write a 200-word creative short story using the words: "pencil" and "jogging"

RESPONSE:

The Last Draft

Every morning, Maya went jogging past the old library, its stone steps crumbling like forgotten sentences. She never stopped — until Tuesday.

A pencil lay on the top step, impossibly sharp, gleaming as though it had been waiting specifically for her. She picked it up. It felt warm.

Inside, the librarian didn't look up. "Found it, did you?"

Maya turned the pencil over in her fingers. "Someone lost it?"

"Someone *left* it." The librarian finally raised her eyes — pale, ancient, knowing. "It belonged to a writer who couldn't finish her final story. She said the pencil would choose the next one."

Maya almost laughed. Instead she sat down at an empty table, opened a dusty notebook, and pressed the pencil to the page.

Words came — not hers, exactly, but not foreign either. A story about a woman who jogged to escape grief, who ran every day past the place where her daughter used to wait.

Maya wrote until dark.

When she left, the librarian called after her: "She finished it, you know. The writer."

"What happened to her?"

The old woman smiled. "She stopped running."

PROMPT

Explain the Modigliani–Miller theorem

RESPONSE:

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The **Modigliani–Miller (MM) theorem** (1958) states that in a perfect market, a firm's **capital structure is irrelevant** to its total value.

Two core propositions:

1. **Without taxes:** A firm's value is determined solely by its earning power and underlying assets — not by how it's financed (debt vs. equity). Shifting the debt/equity mix just redistributes risk between stakeholders without changing total value.
2. **With taxes:** Debt becomes advantageous because interest payments are tax-deductible, creating a **"tax shield."** Firm value increases with leverage, implying firms should theoretically use maximum debt.

Perfect market assumptions (which make the theorem work):

- No taxes
- No bankruptcy costs
- No transaction costs
- Symmetric information
- Rational investors

Why it matters in practice:

The theorem is most useful for what it *rules out* — its assumptions highlight exactly *why* capital structure **does** matter in the real world:

- Bankruptcy costs limit debt appetite
- Tax shields incentivise borrowing
- Asymmetric information affects investor perception (signalling)
- Agency costs arise between shareholders and debtholders

It essentially created the foundation for modern **corporate finance theory**, shifting the field toward rigorous, arbitrage-based reasoning.

PROMPT

Answer this question on the cost of inventory applying IFRS accounting standards. During the year ending 31 December 2009, a company's factory produced 5,000 pairs of shoes. The normal budgeted production level is 6,000 pairs of shoes. Production costs were as follows (in pounds £): Raw materials purchases: 50,000 Labour conversion cost: 25,000 Variable overheads: 20,000 Fixed overheads: 60,000 500 pairs of shoes were held in inventory at the year end. What is the value of inventory at 31 December 2009?

RESPONSE:

Inventory Valuation under IAS 2

Under **IAS 2**, inventory is measured at **cost**, which includes raw materials, direct labour, variable overheads, and **absorbed fixed overheads** (based on *normal* capacity — not actual).

Fixed Overhead Absorption Rate

Fixed overheads are absorbed using **normal capacity** (not actual):

$$\frac{£60,000}{6,000} = £10 \text{ per pair} \quad \frac{£60,000}{6,000} = £10 \text{ per pair}$$

Fixed overhead absorbed = $5,000 \times £10 = \textbf{£50,000}$ (£10,000 is expensed as under-absorption — not included in inventory cost)

Total Production Cost

Cost	£
Raw materials	50,000
Labour	25,000
Variable overheads	20,000
Fixed overheads (absorbed)	50,000
Total	145,000

Cost Per Unit

$$\frac{£145,000}{5,000} = £29 \text{ per pair}$$

Inventory Value

$$500 \times £29 = £14,500$$

Key point: Using *actual* production (5,000) instead of normal capacity (6,000) to absorb fixed overheads would artificially inflate unit cost — IAS 2 explicitly prevents this.